Best's Credit Rating Effective Date
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Information
Best's Credit Rating Methodology

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Market Segment Outlooks

Financial Data Presented
The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: Best's Financial Report.

Heartland National Life Insurance Company

AMB #: 006730 | **NAIC #:** 66214 | **FEIN #:** 64-0431935
Ultimate Parent: AMB # 049477 - The McDaniel 2024 Company

Best's Credit Ratings

Financial Strength Rating (FSR)	Issuer Credit Rating (ICR)
B++	**bbb**
Good	**Good**
Outlook: **Negative**	Outlook: **Negative**
Action: **Affirmed**	Action: **Affirmed**

Assessment Descriptors

Balance Sheet Strength	**Strong**
Operating Performance	**Adequate**
Business Profile	**Limited**
Enterprise Risk Management	**Marginal**

Rating Rationale

Balance Sheet Strength: Strong

- The risk-adjusted capitalization of Heartland National Life (HNL) was assessed at the level of strong at year-end 2024, as measured by Best’s Capital Adequacy Ratio (BCAR); however, HNL's overall balance sheet strength assessment is pressured by rapid annuity growth that has been heavily reinsured, which has increased reinsurance counterparty risk and operational risk.
- The company has a chief risk officer (CRO) in place; however, HNL refiled its year-end 2024 statutory statement following an external audit of its net deferred tax asset, which depends on the company's future expected profits and which detracts from the company's quality of assets and capital. A high percent of available capital also related to agent balances in the course of collection.
- Partially offsetting these negative credit rating factors is HNL's execution of its capital plans, which have included annuity reinsurance with Converge Re II (Puerto Rico), a surplus note funded by HNL's parent company, and a possible new equity partner along with additional diversified reinsurance options.
- HNL has access to capital through both its principal owner and a strategic partner, which have infused capital contributions to support HNL's liabilities and business growth to some extent.

Operating Performance: Adequate

- HNL's net premium levels have significantly increased over the previous several years, driven primarily by the launch of individual multi-year guaranteed annuities (MYGAs) and core supplemental health insurance products, which has caused significant new business strain on the company's absolute and risk-adjusted capitalization levels.
- HNL has been achieving positive spreads on retained individual annuity business due to favorable earned rates, but the ceding commissions received, reserve credit taken, and risks shared on the more significant quota share of business ceded to a third-party reinsurance partner are more significant drivers of HNL's overall operating performance, and these remain to be fully tested over the approximately seven years of remaining liability duration.
- The high volume of individual annuity sales has significantly shifted HNL's business profile away from just a supplemental accident & health (A&H) carrier to a material annuity writer, and the company's strategy of utilizing reinsurance for capital management has increased HNL's reliance on and concentrated exposure to its unaffiliated reinsurance partners.
- General expenses and direct commissions have steadily increased as the company expands it volumes and mix of business, as well as its staff count and management profiles.

Business Profile: Limited

- HNL has a nominal market share in its core supplemental A&H insurance and annuity segments, and the company will likely continue to face substantial competition.
- The company is concentrated in the hospital indemnity and individual annuity lines of business that cater primarily to the needs of the senior market, which are sold mainly through one of the largest independent marketing organizations in the United States.
- Management puts emphasis on growing relationships with independent agents through active management and new products.

Enterprise Risk Management: Marginal

- HNL's enterprise risk management (ERM) framework is still evolving to the profile of the organization although leadership has formalized the responsibilities of key roles that have been onboarded in the areas of annuity product design, compliance, and risk management.
- The company conducts stress testing and loss ratio monitoring; however, the majority of its gross in-force reserves are now annuity business, which are heavily reinsured, and as a result, HNL's financial condition is ultimately more dependent on the asset-liability management, dividend policy, and overall risk management of its capital partner.
- HNL uses extensive reinsurance to share risk and manage capital strain, and only partial equity credit is provided to a recent surplus note, which creates some financial leverage for both the operating entity and ultimate owner.
- The company's relatively small amount of capital and surplus compared with the carrier's gross liabilities, along with its peers and competitors focusing on the longer-duration annuity market, exposes HNL to a higher level of event risk including an outsized impact from any potential litigation.

Outlook

- The negative outlooks reflect downward pressure on the company’s overall balance sheet strength assessment due to significant annuity growth that has outpaced excess risk-adjusted capitalization, which has been supported by high third-party reinsurance dependence.

Rating Drivers

- A negative rating action could occur if Heartland National fails to improve its risk-adjusted capitalization by executing further its capital plans, which include raising capital through either equity or debt investments or additional reinsurance.
- A negative rating action could occur if Heartland National's reinsurance counterparties experience negative ratings pressure or if their credit quality declines, which impacts the overall balance sheet strength assessment of Heartland National.
- A negative rating action could occur if there is a sustained declining trend in operating results.
- Although unlikely, positive rating movement could occur if the company's enhancements to its overall enterprise risk management framework are supported by favorable sustained trends in overall balance sheet strength and operating performance metrics.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	35.9	12.0	0.6	-3.1

Source: Best's Capital Adequacy Ratio Model - L/H, US

	3-Months		Year End - December 31				
Key Financial Indicators USD (000)	**2025**	**2024**	**2024**	**2023**	**2022**	**2021**	**2020**
Assets:							
General Account	241,161	19,522	234,344	15,970	15,697	13,919	12,127
Total	241,161	19,522	234,344	15,970	15,697	13,919	12,127
Liabilities:							
Net Life Reserves	13,084	292	11,388	84	138	145	152
Net Accident & Health Reserves	8,192	6,562	7,681	6,078	4,643	3,585	2,774
Liability for Deposit Contracts	22	21	22	21	21	20	20
Asset Valuation Reserve	540	67	418	63	45	20	16
Other General Account	206,479	6,629	199,827	3,194	4,347	3,296	2,776
Total	228,317	13,571	219,336	9,439	9,193	7,067	5,738
Total Capital and Surplus	12,844	5,951	15,008	6,532	6,503	6,852	6,389
Net Income	-901	11	676	345	-924	619	405
Net Premiums Earned	7,941	5,543	33,165	20,189	13,747	10,748	7,804
Net Investment Income	2,720	234	3,938	867	456	240	236

Source: BestLink® - Best's Financial Suite

	3-Months		Year End - December 31					
Key Financial Ratios (%)	**2025**	**2024**	**2024**	**2023**	**2022**	**2021**	**2020**	**Weighted Average**
Operating Return on Revenue	-8.4	0.1	1.4	1.3	-4.5	3.6	3.3	0.9
Operating Return on Capital and Surplus	-25.7	0.7	6.3	5.4	-13.8	9.3	6.9	3.1
Net Investment Yield	4.8	7.2	3.4	8.6	4.7	2.6	2.9	3.8
Pre-Tax Investment Total Return	4.8	7.2	3.4	8.4	4.6	2.6	2.9	3.7

Source: BestLink® - Best's Financial Suite

	3-Months		Year End - December 31				
Leverage (%)	2025	2024	2024	2023	2022	2021	2020
General Account Liabilities to Capital and Surplus	17.8	2.3	14.6	1.4	1.4	1.0	0.9
Higher Risk Assets to Capital and Surplus:							
All Other Higher Risk Assets	16.0	16.2	13.8	14.9	15.6	15.3	...

Source: BestLink® - Best's Financial Suite

	3-Months		Year End - December 31				
Liquidity Analysis	2025	2024	2024	2023	2022	2021	2020
Current Liquidity (%)	875.6	146.8	894.5	102.8	91.7	123.7	147.0
Net Operating Cash Flow USD (000)	1,106	1,200	11,346	1,154	-1,424	1,904	170

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

Capitalization

AM Best has revised the outlooks to negative from stable for the Financial Strength Rating of B++ (Good) and the Long-Term Issuer Credit Rating of “bbb” (Good) of Heartland National Life Insurance Company (HNL) (Indianapolis, IN). The revised outlooks reflect downward pressure on the company’s overall balance sheet strength assessment due to significant annuity growth that has outpaced excess risk-adjusted capitalization, which has been supported by high third-party reinsurance dependence. The risk-adjusted capitalization of HNL is assessed at the level of strong as measured by Best's Capital Adequacy Ratio (BCAR) at year-end 2024. This compares to BCAR assessments of very strong at year-end 2022 and 2023, and strongest at year-end 2021.

Following a year of extensive individual deferred fixed annuity sales targeted to the savings and retirement needs of policyowners, HNL has incurred significant new business strain on risk-adjusted capitalization. In addition HNL 's business profile now has more long-duration asset-liability matching and interest rate risk – both directly for its retained business and indirectly for its ceded business – in addition to biometric risk from a core portfolio of profitable supplemental A&H business. The latter product line is considered lower risk for insurers on AM Best’s product continuum primarily attributed to providing cash benefits, rather than full medical cost reimbursement, to address policyowners’ health insurance coverage gaps.

HNL has traditionally used extensive reinsurance to share risk and manage capital strain as it executes its growth initiatives under its strategic plan and evolving ERM framework, and in October 2023, the company implemented a 95% quota share flow reinsurance agreement for the annuity sales with Converge Re II (PR), a subsidiary of Lightstone. Lightstone specializes in identifying, acquiring, and improving existing real estate, and in creating unique properties through ground-up development. In December 2024, a $7 million surplus note was also issued by HNL, and HNL has access to another $8 million of backup liquidity it can draw from the same credit facility if needed. HNL received capital infusions of $500,000 and $1.3 million in 2023 and 2022 respectively from its principal owner to support HNL’s business. Altogether these initiatives have helped HNL manage the capital strain associated with its rapid growth, however this is partially offset by high reinsurance leverage associated with the annuity business that has increased reinsurance counter-party risk capital charges and operational risk. HNL’s relatively small amount of capital and surplus compared with its gross liabilities and its various competitors also focusing on the annuity market for the senior demographic, also places pressure on the company’s reliance on its sole annuity reinsurer Converge Re. HNL has exposure to a higher level of event risk, because any potential stress or external event, such as unexpected litigation or regulatory changes, could have an outsized impact on HNL’s more-limited earnings and balance sheet strength. Also, AM Best notes elevated financial leverage and modest coverage ratios, and execution risk related to HNL enhancing its capital position given the company’s concentrated capital structure. HNL also had to refile its year-end 2024 statutory statement following its external auditor's review of its net deferred tax asset, which depends on the company's future expected profits against which past net operating losses carried forward can be utilized, and which detracts from the HNL's overall quality of assets and capital.

AM Best notes that HNL has signed an indicative term sheet with a third-party investment group that may acquire a minority stake in HNL by making equity contributions that would significantly enhance its absolute and risk-adjusted capital levels. The overall amount of the capital contributions also depends on HNL selling or reinsuring part of its supplemental accident and health (A&H) insurance block to another strategic partner, which would unlock additional capital, enhance near-term earnings under management’s projections through a favorable ceding commission/s, and diversify HNL’s reinsurance counter-parties. A negative rating action could occur if HNL fails to improve its risk-adjusted capitalization by executing further on its aforementioned capital raise plans that include either equity or

Balance Sheet Strength (Continued...)

debt investment or additional reinsurance. AM Best notes that despite the likely positive impact on capital from the planned equity investments into HNL, regulatory approvals are still needed, and the anticipated closing date could be sometime in late 2025. The financing of HNL's growth through various capital sources that may include third-party equity or additional reinsurance, could further the strategic importance of HNL's direct insurance capabilities its partner.

HNL's absolute level of available capital has been stable over the last three years, despite new business strain from the rapid growth in multi-year guaranteed / fixed deferred annuities (MYGAs) and supplemental health insurance products such as hospital indemnity insurance, which cater to the company's senior market. In 2024, the company formed a new intermediate holding company which funded the surplus note issued by HNL. At year-end 2024, reported statutory Capital & Surplus (C&S) was approximately $15 million.

C&S has grown at a 23% compound annual growth rate (CAGR) over the last five years, however the surplus note was a material driver off a low base and it has five year maturity with no extension options. Together with 95% quote share funds withheld coinsurance of annuity business to Converge Re II since October 2023, the overall quality of capital is considered low. Net premiums written have outpaced capital growth with a 40% CAGR over the same period, even with the significant reinsurance leverage which stood at approximately 1400% at year-end 2024. AM Best defines reinsurance leverage as aggregate reserves ceded plus amounts recoverable and funds withheld, divided by capital and surplus. HNL's reinsurance leverage is higher than roughly 328% for the industry, and the higher reinsurance dependence and concentration holds back a more positive view on the group's quality of capital. Reinsurer counter-party credit risk analysis during HNL's financial planning, monitoring and stress testing processes under its ERM framework has gained even more importance, and AM Best will also monitor the company's periodic assessments of its reinsurers, focusing on, among other things, financial capacity, stability, trends and commitment to the reinsurance business. HNL's growth has also been driven by favorable supplemental A&H earnings generated from organic growth through key independent marketing organization (IMO) distribution partners.

In 2021, the $1.0 million of capital that was contributed to HNL by its principal owner, was used to partially repay $1.35 million of internal surplus notes that were previously issued to the prior parent Heartland Holding Company. The surplus notes were fully paid off on October 26, 2021, however HNL currently has a $7 million surplus note with an 8% coupon rate.

The company's quick liquidity ratio declined to 71% at year-end 2024 from 98% at year-end 2023. Per HNL's cash flow statement, the main sources of liquidity strain have typically been high first-year commissions paid to independent agents while the company is in significant organic growth mode.

	3-Months		Year End - December 31				
Capital Generation Analysis USD (000)	**2025**	**2024**	**2024**	**2023**	**2022**	**2021**	**2020**
Beginning Capital and Surplus	15,008	6,532	6,532	6,504	6,852	6,389	5,408
Net Operating Gain	-901	11	676	353	-920	619	404
Net Realized Capital Gains (Losses)	...	...	...	-8	-4	...	...
Net Change in Paid-In Capital and Surplus	...	...	7,000	500	1,300	-350	600
Other Changes in Capital and Surplus	-1,264	-592	800	-817	-724	194	-23
Net Change in Capital and Surplus	-2,164	-581	8,477	28	-348	463	981
Ending Capital and Surplus	12,844	5,951	15,008	6,532	6,503	6,852	6,389
Net Change in Capital and Surplus (%)	-15.2	-8.9	129.8	0.4	-5.1	7.2	18.1
Net Change in Capital and Surplus (5 yr CAGR)	...	...	22.6	...	...	...	...

Source: BestLink® - Best's Financial Suite

Asset Liability Management - Investments

HNL's capitalization is supported by a generally conservative and high-quality investment portfolio, which the company manages according to its investment policy with outsourced asset managers. At year-end 2024 the company maintained a predominantly fixed income investment portfolio with 55% of invested assets in bonds that are predominantly investment grade and 45% in cash and short-term equivalents. In the first half of 2025, HNL has shifted some cash into additional fixed income securities. At year-end 2024, 53.2% of the bonds are NAIC Class 2, compared with 16.4% at year-end 2023. The company continues to maintain some allocation to shorter-duration assets in the higher interest rate environment, and to enhance capital flexibility. For the portion of premiums and assets ceded to Converge Re, the securities in the funds withheld account are generally of good quality albeit there are some bridge

Balance Sheet Strength (Continued...)

loans on commercial real estate which presents some investment risk. All investments are thoroughly vetted by HNL's investment committee upon review of detailed investment memos provided by Lightstone.

Composition of Cash and Invested Assets	3-Months 2025	3-Months 2024	Year End - December 31 2024	2023	2022	2021	2020
Total Cash and Invested Assets USD (000)	233,408	15,421	218,730	10,618	9,397	9,740	8,390
Composition Percentages (%)							
Unaffiliated:							
Cash and Short Term Investments	27.2	40.6	44.9	26.1	15.3	16.8	25.5
Bonds	72.4	53.2	54.6	64.7	73.9	72.5	74.5
Other Invested Assets	0.4	6.3	0.4	9.2	10.8	10.8	...
Total Unaffiliated	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Total	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Bonds and Short Term Investments - Distribution by Maturity (%)	Years 0-1	1-5	5-10	10-20	20+	Average (Years)
Government Bonds	0.1	1.9	...	...	...	2.9
Government Agencies and Municipal Bonds	...	...	...	...	...	1.3
Industrial and Miscellaneous Bonds	6.1	52.3	37.8	1.1	0.8	4.9
Total Bonds	6.2	54.1	37.8	1.1	0.8	4.8

Source: BestLink® - Best's Financial Suite

Bonds - Distribution by Issuer	Year End - December 31 2024	2023	2022	2021	2020
Bonds USD (000)	119,487	6,868	6,945	7,057	6,254
US Government (%)	2.0	38.4	25.0	24.6	41.0
Foreign - All Other (%)	25.7	4.0	6.6	7.6	9.5
State, Municipal & Special Revenue (%)	...	...	...	0.1	0.1
Industrial & Miscellaneous (%)	72.3	57.5	68.4	67.7	49.4
Total Bonds (%)	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Reserve Adequacy

HNL uses the gross premium valuation method for their supplemental A&H business, which accounts for all future expected cash flows such as expected expenses, in contrast to the net premium valuation method. Management also indicated that the optional riders on the main Hospital Indemnity product are included in the reserves on a seriatim basis. According to Heartland National's Schedule S of its statutory filing, the funds withheld account in respect of the ceded annuity business was approximately $195 million at year-end 2024 or about 90% of the gross reserve credit taken of roughly $215 million. The net reserve credit of approximately $20 million representing the excess statutory reserves, and the performance of the underlying annuity business and the spreads achieved, will continue to be closely monitored,

Operating Performance

Heartland National Life's operating performance is assessed as adequate based on its favorable supplemental A&H underwriting performance, individual annuity spreads, and premium growth. In 2024, the company reported statutory net earnings of about $676 thousand, compared with roughly $345k year-on-year. Higher gross premiums, net investment income, and reinsurance commissions received generally offset higher supplemental A&H benefits, and higher total reserves held, direct commissions paid, general expenses, and a modest amount of annuity surrender benefits for HNL's 5% retention, owing to the company's fast recent growth. In 2024, the

Operating Performance (Continued...)

company wrote about $220 million of individual annuity premium (gross or direct and hence before deducting 95% reinsured to Converge Re) and $8 million of supplemental A&H first year premium. A&H business includes various products that provide cash benefits to help policyowners meet deductibles, copayments, and out-of-pocket costs - such as a new short-term home healthcare product, a new cancer heart attack and stroke product, and a revamped hospital indemnity product called Secure Advantage Flex that provides daily cash benefits for hospitalization should certain policy conditions be met, in addition to several optional riders.

In the first quarter of 2025, the company had a statutory net loss of about $900 thousand owing to continued high general expenses and direct commissions associated with its high volume of sales and new product launches, which included Short Term Home Health Care and Cancer Heart Attack and Stroke insurance in 2023 and 2024 respectively, and the upcoming launch of a new Fixed Index Annuity (FIA) product in some of the company’s thirty six approved states. The company has been in the process of launching the FIA product which will also be reinsured. While the company continues to remain close to breaking-even in light of the acquisition cost strain it is experiencing which is managed through reinsurance, slightly higher A&H benefits as lives insured by medicare advantage increase utilization of health services and have more out-of-pocket payments filled by HNL’s hospital indemnity plan, will need to continue to be monitored.

In 2022 the company reported a loss of approximately $924 thousand owing to higher commissions paid, higher general expenses, higher morbidity claims as healthcare utilization increased post the COVID-19 lockdowns, and higher reserve increases; partially offset by continued strong growth in premiums and higher net investment income. The company reverted to positive statutory earnings in 2023 by reporting approximately $345 thousand of net income, owing to continued strong growth in premiums and net investment income; partially offset by higher direct commissions paid, A&H morbidity claims, general expenses, and modest net realized losses due to other-than-temporary-impairments of some fixed income security investments.

The company has maintained rapid top-line growth through product development and strong distribution and marketing that has expanded the number of lives insured to help meet protection gaps for out-of-pocket costs like medical co-payments or deductibles. Total net premium written in 2024 was approximately $33.1 million, up from $20.2 million, $13.7 million, and $10.8 million in 2023, 2022, and 2021 respectively.

General expenses have increased over the last three years because the company had to cover payroll and other service and administration expenses on its own, and it has grown its staff count since beginning its business plan; after the previous sister company Heartland Financial Group (a marketing and distribution company) was sold to Integrity Marketing Group (IMG) in 2022.

The company's loss ratio reports indicate that based on a retrospective month-by-month analysis, all the blocks on average, and most of the material blocks have favorable overall morbidity claims experience. This could be attributed to the company pricing the business profitably and disciplined underwriting.

HNL's net investment income has grown in each of the past five years, from $236 thousand in 2020 to almost $4 million in 2024, reflecting a growing invested asset base, favorable pre-tax investment yields, and annuity spreads. In 2024, HNL made a gross spread of about 0.16% on new policies issued during the year, equal to an earned rate of approximately 5.80% on about $11 million of retained account value, less an average crediting rate of 5.64%. That said, a more significant driver of HNL's operating performance is the ceding commissions it receives from Converge Re according to their treaty. On the 5% of the business that HNL retains, the company had and average annuity liability duration of 7.6 years, which was significantly longer than the average asset duration of 1.3 years. As a result, the company's surplus is more susceptible to rates declining as indicated by its New York 7 Cashflow Testing results. That said, the reinsurance commissions that Heartland receives from Converge Re on the majority of the business that is reinsured, would depend on Converge Re's asset-liability management framework and the ceding commissions it pays Heartland.

The company continues to explore new product offerings to continue to meet the needs of consumers. AM Best expects the company to continue selling a high volume of premium for both the flagship hospital indemnity product and the more recent MYGAs, with strong persistency, as well as disciplined expense management via efficient use of technology that will support HNL's continued growth in its core products. However, AM Best notes that the profitability levels could fluctuate as a result of costs to bring new product offerings to market and distribution initiatives including the level of commissions paid to agents, and HNL's would need additional financing as it brings on more business to support its balance sheet and risks for the current rating level. AM Best will also continue to monitor the potential for higher annuity disintermediation in the competitive higher-rate environment, and its impact on HNL's sole annuity reinsurer, which will depend on the surrender charge schedule of the underlying annuity products that are quota shared.

AM Best will continue to monitor the company's capitalization and operating performance against its planned capital management initiatives and current business plan, the mix of business between annuity and A&H insurance, and the nature of the assets in the reinsurer’s funds withheld trust account that backs about $195 million of annuity liabilities as of year-end 2024.

Operating Performance (Continued...)

Net Operating Gain By LOB USD (000)	Year End - December 31 2024	2023	2022	2021	2020
Individual Life	-33	-10	...	-19	-20
Individual Annuities	417	-45	-190	-18	-12
Accident & Health	292	408	-730	656	436
Total	676	353	-920	619	404

Source: BestLink® - Best's Financial Suite

Accident & Health Statistics	Year End - December 31 2024	2023	2022	2021	2020
Net Premiums Written USD (000)	22,167	20,188	13,747	10,748	7,804
Net Premiums Earned USD (000)	22,018	20,084	13,585	10,754	7,758
Claims and Cost Containment Ratio (%)	28.5	24.9	31.6	33.4	29.6
Expense Ratio (%)	71.4	77.6	72.7	59.9	64.9
Combined Ratio (%)	99.9	102.5	104.3	93.3	94.5
Underwriting Results USD (000)	-74	-575	-704	723	401

Source: BestLink® - Best's Financial Suite

Business Profile

Following a year briskly writing individual annuities targeted to policyholder's savings and retirement needs, HNL's business profile now has more long-duration asset-liability matching and interest rate risk in addition to biometric risk from a core portfolio of supplemental A&H business focused on providing cash benefits to address policyowners' health insurance coverage gaps.

Heartland National Life Insurance Company (HNL) was established in 1965 (originally as Dixie National), to serve the life, health and financial needs of their policyholders. HNL has experienced rapid growth, primarily through hospital indemnity sales as they continue their strategic focus on developing new and innovative products. HNL is domiciled in Indiana and headquartered in Missouri, but the company also uses various Third Party Administrator (TPA) or reinsurer partner services to increase efficiency and/or help manage risk.

The company has traditionally focused on supplemental health products for mainly the senior market demographic, providing best-in-class products complementing both the Medicare and Affordable Care Act (ACA) markets. HNL's senior product portfolio includes Medicare Supplement and Advantage, Hospital Indemnity, and other supplement products serving the needs of seniors. The company started selling these products in 2009. The company markets products in 36 states and management plans to roll out existing and some new products in additional states in the near-term, which will help the company to further diversify geographically. Approximately ninety-five percent of the company's retained reserves are active life A&H (hospital indemnity mainly) and this also presents significant product concentration risk, particularly from a regulatory perspective. While HNL's products are generally considered moderate risk on AM Best's product risk continuum for life, annuity, and health products; the company operates in a highly competitive individual supplemental accident and health insurance market.

Mr. Christopher M. McDaniel is the owner of HNL. The previous owner of HNL was Heartland Holding Company Inc. (HHC), which owned Heartland Financial Group (HFG). On August 23, 2022, Integrity Marketing Group (IMG) purchased 100% of HHC, but prior to that 100% of the shares of HNL were transferred via stock dividend to Mr. McDaniel. HNL still has a distribution agreement with IMG.

On April 20, 2009, HNL entered into a National Marketing Agreement with HFG, to expand HNL's insurance marketing through brokerage channels of distribution. On March 14, 2014, HNL entered into a Management Services Agreement with HFG to appoint all management and administrative services required to conduct its business operations. Effective August 23, 2022, this agreement was terminated with the sale of HHC and HFG. The purchasing entity, IMG, replaced HFG as the National Marketing Organization. So HNL's sales are now through independent agents at IMOs, primarily through IMG, one of the leading IMOs in the U.S. with over 500,000 contracted agents. Currently HNL has approximately 6,400 contracted agents.

HNL has implemented a number of technology and process improvements that leverage data and software to provide the service standards they aspire to for their policyowners and agents, such as online policyholder and agent portals, and an eApplication process.

The company launched a Multi-Year Guaranteed Annuity (MYGA) and a Home Healthcare product in late 2023. If additional capital is necessary to support these products, a capital contribution from HNL's principal owner is anticipated.

Business Profile (Continued...)

2024 By Line Business	Direct Premiums Written USD (000)	%	Reinsurance Premiums Assumed USD (000)	%	Reinsurance Premiums Ceded USD (000)	%	Net Premiums Written USD (000)	%	Business Retention %
Individual Life	43	...	...	...	43	...	...	...	...
Individual Annuities	219,962	81.4	...	...	208,964	88.2	10,998	33.2	5.0
Accident & Health	50,100	18.5	...	...	27,933	11.8	22,167	66.8	44.2
Total	270,106	100.0	...	...	236,941	100.0	33,165	100.0	12.3

Source: BestLink® - Best's Financial Suite

Geographic Breakdown by Direct Premiums Written and Deposit-Type Contracts USD (000)	Year End - December 31 2024	2023	2022	2021	2020
Florida	54,000	3,104	2,778	2,710	2,654
Texas	38,358	4,505	3,932	4,032	4,410
Illinois	26,859	1,488	1,386	1,409	1,483
Iowa	18,869	2,517	2,402	1,776	716
Missouri	14,829	2,501	2,251	2,061	1,825
Top 5 States	152,915	14,114	12,750	11,988	11,087
All Other	117,165	35,838	30,591	25,492	18,316
Total	270,080	49,952	43,341	37,479	29,404
Geographic Concentration Index	0.09	...	...	...	...

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

HNL, despite its relatively small operating scale, maintains elements of formal enterprise risk management (ERM) processes that are carried out by an experienced leadership team who identify and assess risks, and then mitigate them through proactive management. The ERM framework is evolving, however AM Best notes, HNL created a risk mitigation plan document in 2024 as part of its transition to a more formal ERM program from the current informal program. This includes identifying and addressing changes in the following factors: regulatory, product, distribution, marketing, information systems, expense, investments, pricing and rate increase filing, reserving and capital management. Dashboards also continue to be enhanced to monitor other key factors on a monthly basis, that are critical to the success of management's operational plan. These factors include trends in loss ratio and number of policies by product, and number of applications, agents, new business premium, and key financial metrics by month. The company also does annual stress testing, through an external consultant which also does the product pricing and reserving for which HNL does not have the in-house expertise.

The company's scale allows for management's active involvement in daily operations and continuous monitoring of the company's activities. The board of directors at its frequent meetings discuss potential risks and a multi-disciplinary view for assessing, monitoring, and addressing those risks. Members of the board are actively involved in day-to-day operations and maintain close relationships with management and help keep employees advised of company strategies, products, and initiatives. This helps promote a strong governance environment. Additionally, the company maintains cyber liability insurance and a business disaster recovery policy.

HNL will need to continue monitoring the relationships with contracted third-party service providers closely to manage non-core operations, including actuarial, asset management, legal, and administrative risk exposures. Management has identified these issues and the product, geographic, and distribution concentration risks discussed in the Business Profile section of this credit report.

AM Best will continue to monitor HNL’s progress in strengthening its risk management capabilities and governance, but also notes that the company will likely design and implement its ERM processes in line with the scope of its operations, balance sheet, and business profile.

Enterprise Risk Management (Continued...)

Reinsurance Summary

HNL uses reinsurance significantly to help reduce new business strain, to support the company's risk-adjusted capitalization, and to enhance the services delivered to policyowners and agents.

HNL has a reinsurance agreement with SILAC to reinsure 95% of HNL's Medicare supplement line of business written in 2009 and 2010. For all newer Medicare supplement policies written in 2011 and later, HNL reinsures 100% to Mutual of Omaha Insurance Company who management says can also help accurately advise on which regions to expand profitable growth in. HNL also reinsures 100% of a closed life block to Madison National Life. On October 16, 2023, HNL entered into a coinsurance funds withheld treaty with Converge Re II (PR) to reinsure the company's new individual deferred fixed annuities (MYGAs).

Environmental, Social & Governance

AM Best considers Heartland National Life’s exposure to material environmental, social and governance (ESG) risks to be low.

Financial Statements

Balance Sheet	3-Months 2025 USD (000)	%	Year End - December 31 2024 USD (000)	%	2023 USD (000)	%
Cash and Short Term Investments	63,555	26.4	98,308	42.0	2,776	17.4
Bonds	168,927	70.0	119,487	51.0	6,868	43.0
Other Invested Assets	926	0.4	935	0.4	974	6.1
Total Cash and Invested Assets	233,408	96.8	218,730	93.3	10,618	66.5
Premium Balances	1,688	0.7	2,810	1.2	1,834	11.5
Net Deferred Tax Asset	2,089	0.9	1,955	0.8	854	5.3
Other Assets	3,976	1.6	10,849	4.6	2,665	16.7
Total General Account Assets	241,161	100.0	234,344	100.0	15,970	100.0
Total Assets	241,161	100.0	234,344	100.0	15,970	100.0
Net Life Reserves	13,084	5.4	11,388	4.9	84	0.5
Net Accident & Health Reserves	8,192	3.4	7,681	3.3	6,078	38.1
Liability for Deposit Contracts	22	...	22	...	21	0.1
Asset Valuation Reserve	540	0.2	418	0.2	63	0.4
Other Liabilities	206,479	85.6	199,827	85.3	3,194	20.0
Total General Account Liabilities	228,317	94.7	219,336	93.6	9,439	59.1
Total Liabilities	228,317	94.7	219,336	93.6	9,439	59.1
Capital Stock	1,500	0.6	1,500	0.6	1,500	9.4
Paid-In and Contributed Surplus	12,274	5.1	12,274	5.2	12,274	76.9
Unassigned Surplus	-7,930	-3.3	-5,766	-2.5	-7,242	-45.3
Other Surplus	7,000	2.9	7,000	3.0	...	...
Total Capital and Surplus	12,844	5.3	15,008	6.4	6,532	40.9
Total Liabilities, Capital and Surplus	241,161	100.0	234,344	100.0	15,970	100.0

Source: BestLink® - Best's Financial Suite

Income Statement USD (000)	3-Months 2025	2024	Year End - December 31 2024	2023
Net Premiums Earned:				
Individual Annuities	...	...	10,998	1
Accident & Health	...	...	22,167	20,188
Total Net Premiums Earned	7,941	5,543	33,165	20,189
Net Investment Income	2,720	234	3,938	867
Other Income	70	1,496	11,513	6,517
Total Revenue	10,731	7,272	48,616	27,573
Policy Benefits	3,529	1,797	17,762	5,022
Commissions and Expense Allowances	4,545	3,246	19,074	13,735
Insurance and Other Expense	3,724	2,143	10,384	8,043
Dividends to Policyholders	...	...	42	12
Pre-Tax Net Operating Gain	-1,067	87	1,355	761
Income Taxes Incurred	-167	76	679	408
Net Operating Gain	-901	11	676	353
Net Realized Capital Gains	...	...	...	-8
Net Income	-901	11	676	345

Source: BestLink® - Best's Financial Suite

Statement of Operating Cash Flows USD (000)	3-Months 2025	3-Months 2024	Year End - December 31 2024	Year End - December 31 2023
Net Premiums Collected	8,080	5,967	31,874	20,743
Net Investment Income	2,335	237	2,388	956
Other Income Received	71	1,496	11,516	6,537
Total Collected Operating Revenue	10,486	7,700	45,778	28,237
Net Benefits and Loss Related Payments	1,349	1,002	4,916	3,971
Commissions and Other Expenses Paid	8,031	5,498	29,145	22,422
Dividends to Policyholders	...	...	12	...
Income Taxes Paid (Recovered)	...	...	358	689
Total Paid Expenses and Transfers	9,381	6,500	34,432	27,083
Net Operating Cash Flow	1,106	1,200	11,346	1,154

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

Best's Credit Rating Methodology, 08/29/2024

Available Capital and Insurance Holding Company Analysis, 08/15/2024

Evaluating US Surplus Notes, 06/13/2024

Scoring and Assessing Innovation, 02/20/2025

Understanding BCAR for US and Canadian Life/Health Insurers, 05/29/2025